

PARDEE RESOURCES CO PDER

February 19, 2021 - 3:15pm EST

by

[bronzos727](#)

2021 2022

Price:	152.00	EPS	13.29	0
Shares Out. (in M):	1	P/E	11.4	0
Market Cap (in \$M):	101	P/FCF	0	0
Net Debt (in \$M):	-22	EBIT	0	0
TEV (in \$M):	79	TEV/EBIT	0	0

Description

Pardee Resources has been written up twice already: in 2013 (at \$204/share) and 2018 (at \$189/share). We submit it again at \$152/share. We will use 2019 numbers as that is the most recent annual; the company puts out brief quarterlies that in 2020 are generally consistent with what we write below.

The company remains much the same as it was: 161,225 acres of timber & surface (about 0.24 acres / share), 151 mmtons of high-quality metallurgical coal (and 177 mmtons of thermal), 29 bcfe of oil/gase, 11.9 mw of solar capacity, and 680 acres of agricultural properties (leased, not owned). The company has no debt and, we estimate, \$33/share in cash. Book value was \$238 at the end of 2019. The share count has been shrinking and the company pays a regular annualized 4.7% dividend, sometimes supplemented with a special at year-end.

Most of the timberland is hardwoods, located in West Virginia. Considerable acreage has been owned for 100+ years by Pardee and predecessor companies; this acreage is on the books for prices that are far below current market prices. Valuations have not occurred in a number of years, but in 2014 the company had an appraisal of 136,200 acres, of which 84% was forested. The valuation estimated \$885 / acre in standing timber at that time. Since Pardee's long-held policy has been to cut less than growth, biomass is almost certainly higher (a reasonable estimate would be 10-15%), and value per board-foot is probably higher as well (over the long run, one typically gets at least inflation). This \$885 does not include the value of the land itself or any associated mineral rights. Much of the remaining land is softwoods, located closer to populated areas in Virginia. The wood is worth less and the land is worth more.

At Pardee's current market price, a buyer is paying \$626 / acre, and getting all of the coal, oil, gas, solar capacity, agricultural endeavours, and cash for free. It doesn't take a rocket scientist to realise that if the company liquidated tomorrow shareholders would walk away with considerably more than the market price.

In terms of changes since 2018, mostly the news has been positive. The board is smaller (although still in our opinion too big and far too highly paid). The company has decided to comply with SEC Rule 15c2-11. The company has bought back shares and paid special dividends. With the exception of the Board, the company seems to watch expenses with some care: the annual report notes that at the end of 2019, Pardee had fewer employees than it did in 1990, but book value is over seven times higher.

Revenues come from a mix of natural resources, mostly on a royalty basis. Pardee is generally not an operating company. The largest revenue source is coal at 43%. Undoubtedly this is a major part of why the company's shares have been languishing. The company is mostly out of the thermal coal business (10% of coal royalties or 4% of sales), although it still holds substantial reserves. One could view their thermal coal reserves as a free option in case technology or market needs change substantially. In contrast, the company's metallurgical coal reserves are still very important and very profitable. Oil and gas (mostly gas) is 20% of sales; timber and surface 14%; agriculture 13%; and solar energy 10%. There is potential in the large timber properties for carbon credits or related kinds of income.

One obvious negative since 2018 is that the company got caught up in the DC Solar scandal (along with numerous others, including Berkshire Hathaway). Pardee has written down their investment to zero, and may actually get a bit of that back as its pool seems to have involved less fraud than some others. However, it may be on the hook for tax reversals of up to \$7.7mm.

The company puts out a good annual report, and also has a good presentation for its annual shareholder meeting. While we know of no meaningful catalyst, we think the shares are attractive for those struggling to find clear value in the market today.

Quick stats (2019 financials):

Revenues: \$37mm
 Net income: \$8.7mm
 EPS: \$13.29
 EBITDA / share: \$26.53
 Dividend (per year, regular): \$7.20
 Dividend (special, \$3 in 2019 and \$4 in 2020)
 Share count: 664,401
 Book value: \$238
 ROE: 6%



I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

No pressing catalyst

Messages

Subject	Materials?
Entry	02/19/2021 03:45 PM
Member	Light62

Thanks - looks interesting. What's the best way to get filings and the presentation you mentioned?

Subject	Re: Materials?
Entry	02/19/2021 06:37 PM
Member	surf1680

You have to buy a share, send them your brokerage statement, then they send you an email with the data. Not joking.

Subject	Re: Re: Materials?
Entry	02/20/2021 02:29 PM
Member	broncos727

Yes, that's right. That said, once you're a shareholder, management is pretty helpful/willing to send materials. I'd say it's worth buying a share just to stay on the mailing list.
